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Marketing 1

1. Minimum Charge to Cover Costs

Since the company is only licensing the materials, the primary cost is the production of the training manuals. If they produce them themselves, your cost is nearly zero. However, you may factor in some administrative costs, legal fees (for licensing agreements), and possible brand dilution risks. A reasonable **minimum charge** might be around **\$5,000–\$10,000** just to ensure covering minor expenses and setting a baseline value.

2. Potential Income if Full Training Was Done

Your company charges **\$1,000 per attendee** for training. If the firm sends **100 employees**, that would be:

- **Revenue: \$100,000**
- **Variable Costs:**
 - Trainer: $\$5,000 \times (100/15) \approx \$33,333$
 - Manuals: $\$1,000 \times (100/15) \approx \$6,667$
 - **Total Variable Cost: \$40,000**
- **Gross Profit: \$60,000**

This means that if your firm handled training directly, you'd expect around **\$60,000 in profit**.

3. Considering Competitor Pricing

- If competitors offer similar training at a lower cost, you risk pricing yourself out of the deal.
- However, if your training is uniquely valuable and well-known, you have pricing power.
- If competitors offer similar licensing deals, you should price competitively but not undervalue your content.

4. Setting the Licensing Fee

Given that full training profits would be **\$60,000**, a licensing fee should be significantly less (since the company is handling training themselves), but high enough to reflect the value of your proprietary materials.

A good pricing strategy could be:

- **Baseline Pricing:** Around **\$20,000–\$30,000** (since they're saving money on in-person training).
- **Value-Based Pricing:** If you prove that your materials lead to a significant sales increase, you could charge higher—potentially **\$40,000 or more** if the company sees clear ROI.
- **Tiered Pricing:** Offer an annual license at **\$25,000 with renewal discounts** to encourage long-term partnerships.

Final Recommendation

A licensing fee of **\$25,000–\$35,000** would make sense. It's far less than what they'd pay for your full training, yet high enough to reflect the value of your proprietary materials. Plus, you maintain profitability with minimal effort.